Lawrence Brands - Form 10-K Extract (Fiscal 2024)

Item 1. Business

Lawrence Brands is a consumer company operating through three reportable segments: Beverages,

Snacks and Personal Care. Our principal executive offices are located in Nashville, Tennessee. As of the end of fiscal 2024, we employed approximately 89,449 people worldwide. We sell to customers in more

than 108 countries and our strategy emphasises disciplined capital

allocation, operational excellence and organic growth.

Item 1A. Risk Factors

- Our indebtedness could limit our flexibility in planning for or reacting to changes in our business. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Acquisitions may not deliver the expected synergies and could divert management attention. Insurance coverage may not be sufficient to cover all losses arising from these risks. The occurrence of any of these events could have a material adverse effect on our business, financial condition and results of operations.

- Changes in interest rates could adversely affect our net interest margin and the fair value of our fixed-income investment portfolio. Insurance coverage may not be sufficient to cover all losses arising from these risks. We have experienced such events in the past and expect to continue to face them.

- We may be unable to attract and retain the highly skilled employees our strategy needs. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- A downturn in global economic conditions could reduce demand for our products. We monitor this exposure through our enterprise risk management framework and report it to the Audit Committee each quarter. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs.

- Our international operations expose us to foreign-exchange volatility, sanctions regimes and differing tax laws. Regulators in several jurisdictions have increased their scrutiny of this area, which could raise our compliance costs. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

- Climate-related regulation and physical risks may increase our operating costs. We have experienced such events in the past and expect to continue to face them. Although we maintain mitigation plans, there can be no assurance that these measures will be effective in all circumstances.

Item 2. Properties

We own or lease manufacturing, distribution, research and office facilities in North America, Europe and Asia. We believe our facilities are suitable and adequate for our current needs and that additional space can be obtained on commercially reasonable terms if required.

Item 3. Legal Proceedings

From time to time we are party to litigation, claims and regulatory proceedings arising in the ordinary course of business. While the outcome of these matters is inherently uncertain, management does not currently expect them to have a material adverse effect on our consolidated financial position.

Item 7A. Quantitative and Qualitative Disclosures About Market Risk

We are exposed to market risks from changes in interest rates, foreign-currency exchange rates and commodity prices. We use derivative instruments, principally interest-rate swaps and foreign-currency forwards, to manage these exposures, and we do not enter into derivatives for speculative purposes. A hypothetical 100 basis point increase in interest rates would not have a material effect on our interest expense given the predominantly fixed-rate nature of our borrowings.

Item 7. Management's Discussion and Analysis

Total revenue for fiscal 2024 was $27,605 million, an increase of 1.1 percent compared with the prior year. Operating margin was 11.8 percent and net income was $2,589 million. The Beverages segment was our largest, contributing $12,688 million of revenue.

Segment revenue:

- Beverages: $12,688 million
- Snacks: $12,584 million
- Personal Care: $2,333 million

Results reflected cost discipline partly offset by foreign-exchange headwinds.

Liquidity and Capital Resources

Long-term debt totalled $20,289 million, and cash and cash equivalents were $7,429 million. Capital expenditures were $2,361 million, primarily for capacity expansion and technology infrastructure. The Board declared total dividends of $2.88 per share and authorised a $2,271 million share repurchase programme. We believe existing cash, operating cash flow and our revolving credit facility will be sufficient to fund operations for at least the next twelve months.